$$\text{Weighted average profit} = \frac{\text{Total of weighted profits}}{\text{Total of weights}}$$

$$= \frac{2,48,000}{10} = ₹\ 24,800$$

Goodwill = Weighted average profit × Number of years of purchase
= 24,800 × 3 = ₹ 74,400

4.6.2 Super profit methods

Under these methods, super profit is the base for calculation of the value of goodwill. Super profit is the excess of average profit over the normal profit of a business.

Super profit = Average profit – Normal profit

Average profit is calculated by dividing the total of adjusted actual profits of certain number of years by the total number of such years. Normal profit is the profit earned by the similar business firms under normal conditions.

Normal profit = Capital employed × Normal rate of return
Capital employed = Fixed assets + Current assets – Current liabilities
Normal rate of return = It is the rate at which profit is earned by similar business entities in the industry under normal circumstances.

(a) Purchase of super profit method

Under this method, goodwill is calculated by multiplying the super profit by a certain number of years of purchase.

Goodwill = Super profit × Number of years of purchase

Illustration 7

From the following information, calculate the value of goodwill based on 3 years purchase of super profit

(i) Capital employed: ₹ 2,00,000
(ii) Normal rate of return: 15%
(ii) Average profit of the business: ₹ 42,000

Solution

Normal profit = Capital employed × Normal rate of return
= 2,00,000 × 15% = ₹ 30,000
Super profit = Average profit – Normal profit
= 42,000 – 30,000
= ₹ 12,000
Goodwill = Super profit × Number of years of purchase
= 12,000 × 3
= ₹ **36,000**

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